

AUSTRALIA 2013

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

1. Overview of the tax-benefit system

The Australian social security system is funded from general taxation revenue and not from employer or employee social security contributions. Duration of payment receipt is generally not time limited, with income support payments being paid subject to the continued meeting of eligibility criteria and means testing arrangements. Additional assistance is available for those paying rent in the private rental market and for families with dependent children, including assistance with child care costs.

The Australian income support system consists of various pensions and benefits, each with its own eligibility criteria and, where applicable, 'looking for work' or other 'activity' requirements relating to the reason claimants are unable or not expected to fully support themselves through paid work. For example, there are categories of payment for the aged, people with disability and their carers, primary carers of dependent children, the unemployed and full-time students. Income support payments do not include spousal assistance and partners of unemployment payment recipients must claim an income support payment, generally an unemployment or parenting payment, in their own right. Income support payments are both income and asset tested with regimes differing depending on whether a payment is classified as a 'pension' or 'benefit'. Unemployment and parenting payments for members of a couple are 'benefits', while the parenting payment for single parents is classified as a 'pension'. Unemployment-related and parenting payments and the Age Pension are taxable.

Most payments for families with dependent children are subject to income testing either on individual or parental income or the income of the 'second-earner'. Family and Rent Assistance payments are non-taxable. Paid Parental Leave scheme payments are taxable.

The information contained in this document is that required to calculate the social security entitlements and taxes for workforce age individuals and couples where one or both members are receiving an unemployment payment and for single parents receiving Parenting Payment.

1.1. Average Worker wage (AW)

The 2013 AW level is AUD77,530.¹

1. AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see *Taxing Wages 2010-2011*, OECD, 2012, part 5, sections 2 and 3

2. Unemployment insurance

There is no unemployment insurance.

3. Unemployment assistance

Australia's unemployment payments are Newstart Allowance (NSA) and Youth Allowance (YA) (Other) for non-full-time students. Youth Allowance (Other) is generally paid to unemployed people aged 16 to 21 years and NSA is paid to unemployed people aged 22 or over and under Age Pension age (currently 65 for both men and women, rising to 67 between 2017 and 2023).

All income support recipients need to establish their eligibility against certain criteria. Each member of a workforce age couple must either claim an unemployment payment, generally Newstart Allowance, or another income support payment, such as Parenting Payment (PP). PP is an income support payment available to lone parents or one member of a couple with the care of a dependent child aged under six for partnered recipients, or aged under eight for single recipients. A child can only be a 'PP child' of one person.

Recipients of NSA, YA and PP are also entitled to the Income Support Bonus (ISB), a tax-free payment made twice annually to eligible recipients to assist with unexpected costs. The ISB also applies to recipients of other benefits, like Austudy, ABSTUDY and special benefit recipients, which are not covered by the tax benefit model.

Clean Energy Advance (CEA) and Clean Energy Supplement (CES) were introduced as tax-exempt payments to assist households with the impacts of carbon pricing (introduced in July 2012) on living expenses. CEA was introduced first and consecutively substituted by CES for different recipient groups. In the 2013 model individuals entitled to YA and FTB receive the respective rates under the CEA scheme, while recipients of NSA and PP receive payments according to the CES scheme. Other income support payments to people of workforce age include:

- Special Benefit, which is payable to people in severe financial need who have no other means of support and for whom no other income support payment is available. Special Benefit customers are activity tested if they would be required to meet the NSA or YA activity test had they otherwise qualified for that payment (for further information see Section 4);
- payments for full-time students, including YA (student), Austudy and payments under the ABSTUDY scheme;
- payments for people with disability, and carers, including Disability Support Pension (DSP) and Carer Payment (CP);
- Sickness Allowance for people who are temporarily incapacitated and are unable to continue working;
- Widow Allowance for women born on or before 1 July 1955 if widowed, divorced or separated and without recent workforce experience;
- While no longer open to new claimants, Partner Allowance for people born on or before 1 July 1955 whose partner is receiving either a pension, allowance, Austudy or ABSTUDY; and

- Wife Pension, for partners of Age Pension and DSP recipients, which is also closed to new entrants.

3.1 Conditions for receipt

All income support payments are flat-rate in that they do not reflect prior work history or social security contributions; however, rates of payment are dependent on age, partnered status, presence of dependent children, whether people are renting in the private rental market and, for YA recipients, whether they live with or are dependent on their parents. Rates of payment are subject to personal and partner income testing with dependent YA and ABSTUDY recipients also subject to parental means testing arrangements.

Social security benefits are not payable if assets exceed specified levels and newly arrived migrants must generally serve a two-year waiting period prior to receiving payment, except where individuals are given refugee or humanitarian status. Customers may also be subject to various other waiting periods. Some of these are outlined in Section 3.4.

To receive payment, an unemployed person (NSA or YA (Other) recipient) must be actively seeking suitable work or undertaking an activity to improve their employment prospects and must be available for, and willing to accept, suitable work, including part-time and casual employment. Early School Leavers, that is young people under 22 receiving YA (Other) without a Year 12 or a Certificate II qualification, must be participating in full-time training or education or part-time education or training in combination with other suitable activities until they obtain Year 12 or equivalent qualification. In certain circumstances, recipients may be exempted from meeting any or full activity test requirements (e.g. where they are temporarily incapacitated by injury or illness, personal crisis or caring duties).

PP recipients, both single and partnered, are generally transferred (if eligible) to NSA once their youngest child turns six (if partnered) or eight (if single).

Further information on PP (Single) for single parents is at Section 9.

Most benefits are income tested, however some social security benefits such as unemployment and parenting payments are not payable if assets exceed specified value limits. The asset value limits vary depending on whether the payment recipient is single or partnered and whether the person is a homeowner or non-homeowner. For partnered recipients, the asset test applies to the combined assets of the claimant/recipient and their partner. Lower limits apply to homeowners and reflect the fact that the value of the 'principal home' is exempt from the asset test. The asset value limits are indexed on 1 July each year to reflect changes in the broad cost of living as measured by the Consumer Price Index (CPI). As at 30 June 2013, the value limits are as follows:

- Single (for full pension or allowance): homeowner AUD192,500, non-homeowner AUD332,000
- Partnered (combined) (for full pension or allowance): homeowner AUD273,000, non-homeowner AUD412,500

Higher asset limits apply for eligibility to a part pension.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

Basic payment rates for NSA, PP (Partnered) and YA (Other) as of 30 June 2013 are listed below. Supplementary payments, such as Commonwealth Rent Assistance (CRA) (see Section 5) and Pharmaceutical Allowance, may also be payable depending on the person's circumstances. Payment rates

Reference date for all information is **June 30th 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

are set, income tests operate and payments are made on a fortnightly basis. Maximum rates for NSA and RA are indexed in March and September each year to reflect changes in the broad cost of living as measured by the CPI. Maximum rates of YA (Other) are indexed to growth in the CPI in January each year.

Recipients of NSA and PP are also eligible to receive the Clean Energy Supplement (CES) as part of their payment. The CES is a tax-exempt payment that provides assistance to meet the ongoing impacts of carbon pricing on living expenses. The CES is added to the basic payment rate and income tested as part of the payment. For more information, please see 'A guide to Australian Government payments', at <http://www.humanservices.gov.au/corporate/publications-and-resources/a-guide-to-australian-government-payments>.

Basic rates (YA, NSA and PP):

Youth Allowance (YA)	(AUD fortnightly)**	(AUD per month)***
Single, under 18, at home*	223.00	483.17
Single, under 18, away from home	407.50	882.92
Single, 18 and over, at home*	268.20	581.10
Single, 18 and over, away from home	407.50	882.92
Single, with dependent child(ren)	533.80	1156.57
Single, principal carer of a dependent child (granted an exemption for foster caring/home schooling/distance education/large family)	683.50	1480.92
Partnered, no dependent child(ren) (each)	407.50	882.92
Partnered, with children (each)	447.40	969.37
Newstart Allowance (NSA)	(AUD fortnightly)**	(AUD per month)***
Single, 22 and over, no children	497.00	1076.83
Single, 22 and over, with dependent child(ren)	537.80	1165.23
Single, 60 and over, after 9 months on payment	537.80	1165.23
Partnered, 22 or over (each)	448.70	972.18
Single, principal carer of a dependent child (granted an exemption for foster caring/home schooling/distance education/large family)	683.50	1480.92
Parenting Payment (PP)	(AUD fortnightly maximum rate)**	(AUD per month)***
Single parents	683.5	1480.92
Partnered	448.70	972.18

* Rent Assistance is unavailable where a young person receives an 'at home' rate of payment.

**Source for fortnightly rates: A Guide to Australian Government Payments.

***Payments are made fortnightly. Monthly rates are 26 times the fortnightly amount divided by 12.

Rates of supplementary payments (ISB, CEA and CES)*:

Income Support Bonus (ISB)	(AUD, twice per year)
Single	105
Member of a couple	87.50
Clean Energy Advance (CEA) for selected YA recipients	(AUD per year)
Single, 18 and over, away from home	190
Single, with children	240
Partnered, no children	190
Partnered, with children	210
Clean Energy Advance (CEA) for selected Family Tax Benefit (FTB) recipients	(AUD per year)
<u>For each child, if FTB Part A rate exceeds base or tapered base:</u>	
Child under 13	87.55
Child aged 13 to 15 years or 16 to 19 years, secondary student	110.14
<u>For each child, if FTB Part A rate equals base or tapered base:</u>	
Child under 18 years, or 18-19 years, secondary student	36.42
<u>If FTB Part B:</u>	
Youngest child under 5	69.99
Youngest child 5-15 years (or 16-18, if full-time secondary student)	50.63
Clean Energy Supplement (CES) for selected NSA recipients	(AUD fortnightly rate)
Single no children	8.4
Single with dependent child(ren)	9.1
Partnered (each)	7.6
Clean Energy Supplement (CES) for PP recipients*	(AUD fortnightly rate)
Single	11.6
Partnered	7.6

* Source: A Guide to Australian Government Payments, 20 March - 30 June 2013.

Further notes: ISB is paid twice per year with payments starting in March 2013, also see <http://guides.dss.gov.au/guide-social-security-law/1/2/7/170>.

3.2.1.1 Irregular additional payments**Pensioner Education Supplement**

Pensioner Education Supplement (PES) is designed to help certain disadvantaged pensioner groups, such as single parents and people with disability with the costs of study. Assistance is provided over a defined period to help recipients to gain an initial qualification, up to a postgraduate level, that would make them competitive in the labour market. Pensioner Education Supplement is paid fortnightly at a full-rate of AUD62.40 or part-rate of AUD31.20 per fortnight (pf) depending upon the amount of study undertaken and the individual's capacity to undertake study.

Education Entry Payment

The Education Entry Payment is designed to provide an incentive for eligible recipients (including Newstart Allowance and Parenting Payment) to improve their skills and qualifications through

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education by helping to offset the costs of incidental expenses such as books and fees. Education Entry Payment is payable once every 12 months as a lump-sum of AUD208.00.

Language Literacy and Numeracy Supplement

The Language, Literacy and Numeracy Program, known as the Skills for Education and Employment (SEE) program as at 1 July 2013, seeks to improve participants' language, literacy and/or numeracy, with the expectation that such improvements will enable them to participate more effectively in training or in the labour force. Participants are eligible for a supplement of AUD20.80 pf.

Approved Program of Work Supplement

Job seekers participating in Work for the Dole (including full-time Work for the Dole and Drought Force), Green Corps, Community Development Employment Projects, Remote Jobs and Communities structured activities, and Remote Youth Leadership and Development Corps are paid a supplement of AUD20.80 pf.

Mobility Allowance

The purpose of Mobility Allowance (MOB) is to assist with transport costs for people with disability who are unable to use public transport without substantial assistance. The higher rate of AUD121.80 pf is paid to recipients of NSA, YA, DSP or PP who are either working or looking for work of 15 hours or more per week. The basic rate of AUD87.00 pf is paid for eligible recipients undertaking 32 hours in every four weeks of paid or voluntary work.

Carer Supplement

An annual AUD600.00 Carer Supplement is paid to recipients of Carer Allowance (CA) for each person they care for and an additional AUD600.00 Carer Supplement is paid to recipients of Carer Payment (CP). To qualify the carer must be in receipt of CA and / or CP for a payment period that includes 1 July.

Child Disability Assistance Payment

The Child Disability Assistance Payment consists of a AUD1000 annual payment made for a child with disability under 16 years who attracts a payment of CA for their carer.

3.2.1.2 *Obligations of family members*

In the Australian social security system, payments are based on individual entitlement therefore payments for couples are determined individually. The interactions of the income and asset tests mean that earnings of one member of the couple can reduce, or extinguish, the rate of payment of the other member of the couple where a threshold limit is met. While there are no direct implications to the individual's entitlement if the spouse failed to meet eligibility requirements, the spouse would not receive income support. As shown in 3.2.1, payments to individual members of a couple are determined at a reduced rate.

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Benefit receipt and rates of payment are determined by the operation of income and assets tests. Income for the purposes of income support income tests is 'ordinary income'. This concept differs to that

used for taxation and family assistance purposes. 'Ordinary income' includes employment, financial investment income and various other sources of income not considered taxable income. Ordinary income excludes child maintenance income and other social security payments. Income is generally assessed in the first fortnight it is earned, derived or received.

The personal income test for unemployment payment recipients NSA and PP (Partnered) has an income disregard or 'free area' of AUD62.00 per fortnight (increasing to AUD100.00 per fortnight from 20 March 2014). Each dollar of income above AUD62.00 and up to AUD250.00 reduces the rate of payment by 50 cents. Thereafter the withdrawal rate for payments is 60 cents in the dollar. Since 1 January 2013, single principal carer parents on NSA have a single withdrawal rate of 40 cents for each dollar of income above AUD62.00 per fortnight.

The personal income test for YA (Other) has an income disregard or 'free area' of AUD143.00 per fortnight. Each dollar of income above AUD143.00 and up to AUD250.00 reduces the rate of payment by 50 cents. Thereafter the withdrawal rate for payments is 60 cents in the dollar.

Where both members of a couple receive an allowance (such as NSA or PP (Partnered)), a recipient's partner can also earn an amount before their income affects the recipient's income support payment. Income above the partner 'free area' of AUD842.00 per fortnight reduces the rate of the recipient's payment by 60 cents in the dollar. This means that the partner of a Newstart Allowance recipient could earn up to AUD1,602.50 per fortnight before the recipient's payment is reduced to zero. This may be higher if the recipient is eligible for supplementary benefits.

YA for dependent young people is subject to the personal income test and parental means testing arrangements that include parental income and family asset tests.

A recipient's rate of payment may also be affected by the operation of 'Working Credit'. Working Credit allows recipients to build up a credit of up to AUD48.00 of their unused income disregard (or free area) per fortnight, up to a maximum of AUD1000.00. A recipient's Working Credit balance can be used to increase the amount they can earn before their income support payment is reduced. For example, an NSA recipient with a Working Credit balance of AUD200.00 can earn AUD262.00 for a given fortnight (i.e. the amount of the recipient's Working Credit balance plus the relevant fortnightly ordinary income free area) before their payment starts to reduce for that fortnight.

3.3 Tax treatment of benefit and interaction with other benefits

NSA and YA are taxable payments; however a tax rebate (or tax offset) operates so that a person in receipt of an income support payment for the entire income tax year does not pay tax on that payment. (See part 10.1.1.)

3.4 Benefit duration and waiting periods

While there are generally no restrictions on the duration of unemployment payments, and recipients can re-apply for benefits after periods of ineligibility, recipients may be required to serve a waiting period, or periods, prior to payments commencing to be paid if they do not meet various hardship or waiver criteria. Waiting periods may apply in the following circumstances:

- A one-week waiting period for NSA or Sickness Allowance may apply after lodgement of an application form.

- A 'liquid asset waiting period' may apply if a person has liquid assets beyond a set level on the day they or their partner become unemployed or incapacitated, or on the day the person lodged their claim. The maximum waiting period is 13 weeks. Liquid assets include cash, shares and debentures, and bank (including term) deposits. The thresholds are AUD3000 for singles and AUD6000 for couples. From 1 July 2013 the thresholds will increase to AUD5500 for singles and AUD11,000 for couples or singles with dependants.
- A 'seasonal work preclusion period' will generally apply if a person or their partner is engaged in high-income seasonal work in the six months prior to claim.
- A person who reduces their likelihood of getting a job without sufficient reason by relocating to an area with lower employment prospects will have to wait up to 26 weeks before receiving payment.
- A participation payment is not payable to a person for eight weeks if that person became unemployed due to a voluntary act or because of misconduct. However, the preclusion period does not apply if the voluntary act was reasonable or if the work was unsuitable for the person.
- Newly Arrived Resident's Waiting Period (NARWP) – New Australian residents granted permanent residence are subject to the NARWP of 104 weeks with the exception of Widow Allowance, PP and Carer Allowance.

If a person receives leave entitlements from their previous employment, including annual leave, long service leave, sick leave and maternity leave, they may have to serve an 'income maintenance period' during which these entitlements are treated as income. The income maintenance period is equal to the leave period to which the leave payment entitlement relates. During this period, the claimant may receive either a reduced rate of benefit, or no payment at all, depending on the value of their leave entitlements.

3.5 Treatment of particular groups

3.5.1 Young persons

The YA rate structure differs to adult income support. Rates for single and partnered young people without children are lower than equivalent adult rates and the rates structure further differentiates between young people living 'at home' or 'away from home' and, if they live 'at home', whether they are under or over the age of 18. The payment has a higher income disregard (or free area) for full-time students.

YA has parental means testing arrangements for young people who have not met specified independence criteria. Parental income and asset testing does not apply where a parent receives an income support payment.

YA activity test arrangements promote the attainment of Year 12 or equivalent qualification as a primary aim (if the young person does not have that level of education) and allow young people to combine elements of study and work to a greater degree than NSA.

3.5.2 Older workers

Partner Allowance is payable to partners of income support recipients who have no recent workforce experience and who were born on or before 1 July 1955. From 20 September 2003, Partner Allowance is closed to new entrants.

Widow Allowance is payable to women with no recent workforce experience who were widowed, divorced or separated since turning 40 years of age and born on or before 1 July 1955.

Single allowees aged 60 or over are eligible for a higher rate of payment after receiving income support for 9 continuous months.

3.5.3 *Others if applicable*

Single parents with a dependent child aged under 8 years of age generally do not claim unemployment benefits (such as NSA or YA)) as they may qualify for PP (Single). PP (Single) has a higher maximum rate of payment and income test free area, a lower withdrawal rate (except for principal carer parents receiving Newstart Allowance from 1 January 2013) and limited participation requirements (see Section 9). It is possible for single people receiving unemployment benefits to have substantial responsibility for a dependent child, for example, parents with shared care of children (as a dependent child can only be the 'PP child' of one person at a time) or care of a dependent child aged 8 years or older. In these instances, a higher rate of unemployment benefit may be paid (see Section 3.2).

3.5.4 *Disability and Carers*

DSP is a payment for people with a permanent physical, intellectual or psychiatric impairment which attracts at least 20 points under the Impairment Tables and prevents them from working 15 hours or more a week, or from being re-skilled for work for the next two years; or are permanently blind.

A claimant must also be aged 16 years or more but under Age Pension age when claiming DSP and residence rules apply (generally 10 years' qualifying residence).

CP provides income support to carers who because of the demands of their caring role are unable to support themselves through substantial paid employment. There are two streams of payment. For carers of children with disability or medical condition under 16 years of age there is a child stream. For carers of a person with disability or medical condition aged 16 years and over there is an adult stream.

Carer Allowance is an income supplement which is not taxable or income and assets tested. It is available to carers who provide daily carer and attention in a private home to a person with disability or medical condition. The rate of Carer Allowance is currently AUD115.40 per fortnight and is indexed on 1 January each year. Carer Allowance can be paid in addition to a social security income support payment.

3.5.4.2 *Calculation of gross benefit*

Adult pension rates as at 30 June 2013 were as follows:

Adult Pensions, including DSP and CP	(AUD fortnightly)	(AUD per month)**
Maximum Basic Rate		
Single	747.20	1,618.93
Member of a couple	553.10	1220.48
Pension Supplement		
Single	61.20	132.60
Member of a couple	46.10	99.88
Clean Energy Supplement		
Single	13.50	29.25
Member of a couple	10.20	22.10

For DSP, these rates apply to people aged 21 or over, or under 21 with dependent children.

These amounts exclude the Pension Supplement which pensioners may receive as an additional payment to the base pension.

**Payments are made fortnightly. Monthly rates are 26 times the fortnightly amount divided by 12.

Youth DSP rates as at 30 June 2013 were as follows:

Youth DSP	(AUD fortnightly)	(AUD per month)**
Single, under 18, dependent	\$338.40	\$733.20
Single, under 18, independent	\$522.90	\$1,132.95
Single, 18-20, dependent	\$383.60	\$831.13
Single, 18-20 independent	\$522.90	\$1,132.95
Member of a couple	\$522.90	\$1,132.95

These rates apply only to DSP recipients aged under 21, without dependent children.

These amounts include Youth Disability Supplement of AUD115.40 per fortnight.

**Payments are made fortnightly. Monthly rates are 26 times the fortnightly amount divided by 12.

Source for fortnightly rates: A Guide to Australian Government Payments.

Clean Energy Advance (CEA) for selected Youth DSP recipients*	(AUD per year)
Single, under 18, dependent	160
Single, under 18, independent	230
Single, 18-20, dependent	180
Single, 18-20 independent	230
Member of a couple	210

* Source: A Guide to Australian Government Payments, 20 March - 30 June 2013.

DSP and CP are subject to income and asset testing arrangements. For 2012-13, the income limits for full pension are as follows:

- Single adult: up to AUD152 per fortnight;
- Partnered adult (combined): up to AUD268 per fortnight.

Higher income limits apply for eligibility to a part pension.

For 2012-13 the asset limits for a full pension are as follows:

- Single adult: homeowner AUD192,500, non-homeowner AUD332,000
- Partnered adult (combined): homeowner AUD273,000, non-homeowner AUD412,500.

Higher asset limits apply for eligibility to a part pension. DSP recipients who are permanently blind may not be income and asset tested.

3.5.4.2.2 *Additional payments/assistance*

Recipients of DSP may also be entitled to the following major supplementary payments:

- Rent Assistance
- Pension Supplement (see Note 1)
- Pharmaceutical Allowance, Telephone Allowance (if fulfilling the eligibility conditions) and Utilities Allowance (see Note 2)
- Pensioner Concession Card
- Youth Disability Supplement (see Note 2)
- Remote Area Allowance
- Education Entry Payment
- Clean Energy Supplement
- Mobility Allowance

Note 1: Available only to DSP recipients aged over 21, or under 21 with dependent children.

Note 2: Available only to DSP recipients aged under 21 without dependent children.

Recipients of CP may also be entitled to the annual Carer Supplement. Recipients of CA may also be entitled to the annual Carer Supplement (as noted above) and the annual Child Disability Assistance Payment. These payments are also detailed at section 3.2.1.1.

3.5.4.2.3 *Income and earnings disregards for adult pension recipients and those starting a new job*

Rates of payments are calculated under both the income and assets tests and the test that results in the lower rate (or nil rate) will apply. Income over the free areas (AUD152 for singles and AUD268) for couples (combined) reduces the amount of pension payable by 50 cents in the dollar.

Employment income is subject to a Work Bonus for eligible pensioners over age pension age. The Work Bonus is a concession on the income test treatment of employment income and is used to reduce assessable employment income in an instalment period, which is a maximum of 14 days.

A person's rate of payment may also be affected by the operation of 'Working Credit', which is detailed at section 3.2.2.

3.5.4.3 *Tax treatment of benefit and interaction with other benefits*

DSP and CP are non-taxable for people of workforce age and taxable for people who have reached Age Pension age.

3.5.4.4 *Benefit duration and waiting periods*

A person must be residentially qualified for DSP and CP, or have served or are exempt from serving the qualifying residence period - which is ten years qualifying Australian residence.

To ensure claimants use their existing means of support before accessing DSP and CP, receipt of payments can be affected by:

- a Compensation Preclusion Period – lump sum compensation periods may mean there is a period of time during which DSP is not payable to a person (a preclusion period);
- an Income Maintenance Period² – where leave and redundancy payments received upon cessation of employment are treated as income; and
- a seasonal work preclusion period³ – which applies to customers or partners who have been engaged in high income seasonal, intermittent or contract work in the six months prior to claiming.

In general, DSP and CP can be paid for up to 6 weeks of an absence outside Australia (prior to 1 January 2013 the limit was 13 weeks). However there are some exceptions for certain DSP recipients:

- DSP can be paid indefinitely if the person is terminally ill and leaving Australia permanently, subject to meeting certain conditions; and
- since 1 July 2012, DSP has been payable indefinitely to a person who has a severe impairment and no future work capacity, subject to meeting certain conditions.

3.5.4.5 *Treatment of particular groups*

3.5.4.5.1 *Young persons*

As illustrated above, payment rates and income and assets test limits are different for DSP recipients aged under 21 without dependent children, compared to adults. This group receives Youth DSP, which is paid at Youth Allowance rates, rather than common pension rates. Special Youth DSP rates are part of a scheme to have a common rate structure for youth income support payments. The payment of lower rates of income support to Youth DSP recipients recognises that young people generally receive direct or indirect assistance from their parents in meeting their daily living costs.

Youth DSP includes a fortnightly Youth Disability Supplement (YDS) of AUD115.40. YDS recognises the additional costs faced by youth with disability. YDS is also paid to YA recipients aged under 22 who have been assessed as having a partial capacity to work. YDS is added to the rate of YA and the rate payable cannot exceed the rate payable to those over 22 on NSA.

3.5.4.5.2 *People who are permanently blind.*

People who are permanently blind do not have their work capacity assessed for DSP purposes. They also receive DSP free of income or asset testing arrangements (unless they are claiming Rent Assistance).

Information on DSP policy changes is at Section 12.

² Hardship provisions are in place so an individual would not be put in severe financial hardship if they have to spend money on unavoidable or reasonable expenditure.

³ The Seasonal Work Preclusion Period can be waived in part or in full if someone is in severe financial hardship if they have to spend money on unavoidable or reasonable expenditure.

4. Social assistance

In the Australian social security system, Special Benefit serves as a benefit of last resort. It is paid to people in severe financial hardship, who have no other means of support and for whom no other benefit is available. For long-term cases, Special Benefit is not payable when the available funds and liquid assets of the person are more than AUD5000. In cases of shorter-term need, the benefit is not payable if readily available funds exceed two weeks' Special Benefit plus family assistance payments. Payment rates are at the discretion of the Secretary of the Australian Government Department of Social Services, but cannot exceed the maximum NSA or YA payment rates otherwise applicable to the person. The benefit is income tested against all income with no income test free area and a withdrawal rate of 100 cents in the dollar. Any amount of regular in-kind support, such as the provision of board and lodging, also reduces the rate of payment.

4.1 *Conditions for receipt*

Special Benefit is not payable if assets exceed specified levels (see NSA and YA asset test limits in section 3.1) and newly arrived migrants must generally serve a two-year waiting period prior to receiving payment, except where individuals are given refugee or humanitarian status or can demonstrate that a substantial change in circumstances beyond their control has occurred and that they are in severe hardship because of this change.

People receiving Special Benefit who are considered capable of working are expected to look for work and accept offers of suitable employment. People holding certain temporary protection visas who were granted Special Benefit after 1 January 2003, or who became of working age after this date, are subject to an activity test similar to that applying to job seekers receiving NSA and YA.

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

The rate of Special Benefit is discretionary; however, the maximum rate cannot exceed the rate of NSA or YA that the person would otherwise receive if they were eligible. A direct deduction income test applies to Special Benefit. This means that all personal income, whether earned or unearned, reduces the Special Benefit rate by that amount. There is no allowable income free area and no taper rate.

If a person receives in kind support on a regular basis, the value of the support is deducted from the rate after the income test is applied. In kind support includes payment of bills, provision of food and clothing and free board and/or lodging.

4.2.1.1 *Irregular additional payments*

Not applicable

4.2.1.2 *Obligations of family members*

Not applicable

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Not applicable

4.3 *Tax treatment of benefit and interaction with other benefits*

Special Benefit is a taxable payment.

4.4 *Benefit duration and waiting periods*

Special Benefit is generally granted for periods of 13 weeks. An entitlement review is conducted every 13 weeks to determine whether payment should continue. Special Benefit can be cancelled at any time.

People holding certain temporary protection visas who were granted Special Benefit after 1 January 2003, or who became of working age after this date, are subject to an activity test similar to that applying to job seekers receiving NSA and YA. These people are subject to:

- a 'seasonal work preclusion period' if they or their partner were engaged in high- income seasonal work in the six months prior to claim, and
- a 26-week wait before receiving payment if they reduce their likelihood of getting a job without sufficient reason by relocating to an area with lower employment prospects.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

Not applicable

4.5.2 *Older workers*

Not applicable

4.5.3 *Others if applicable*

Not applicable

5. Housing benefits for rented accommodation

Housing assistance exists in two main forms: Commonwealth Rent Assistance (CRA) and public housing provided by state and territory governments with financial assistance from the Australian Government.

5.1 *Conditions for receipt*

Commonwealth Rent Assistance is a non-taxable income supplement paid to eligible individuals and families who rent in the private rental market and community housing. Commonwealth Rent Assistance is paid to eligible recipients of social security pensions and benefits and those receiving more than the minimum rate of FTB Part A.

State and territory governments provide public and community housing to households subject to various eligibility criteria and housing stock availability. The Australian Government provides financial support for this through a joint Commonwealth-State *National Affordable Housing Agreement*.

5.2 *Calculation of benefit amount*

5.2.1 *Calculation of gross benefit*

Commonwealth Rent Assistance is paid at the rate of 75 cents for every dollar of rent paid above the specified minimum rent threshold until the maximum rate of CRA is reached. The maximum rates and minimum rent thresholds vary according to a person's family situation, i.e. single or couple and the number of children they have and, for singles without children, whether accommodation is shared with other adults. Rent thresholds and maximum rates are indexed in March and September each year to reflect changes in the broad cost of living as measured by the Consumer Price Index (CPI).

Commonwealth Rent Assistance

Rates at 30 June 2013 (in AUD)

Family situation	Maximum payment per fortnight	No payment if fortnightly rent is less than	Maximum payment if fortnightly rent is more than
Single, no children	123.00	109.20	273.20
Single, no children, sharer	82.00	109.20	218.53
Couple, no children*	115.60	177.60	331.73
Single, 1 or 2 children	144.06	143.64	335.72
Couple, 1 or 2 children	144.06	212.66	404.74
Single, 3 or more children	162.96	143.64	360.92
Couple, 3 or more children	162.96	212.66	429.94

Source: A guide to Australian Government payments.

*Other rates of payment are available for couples separated due to illness or temporarily separated.

5.2.2 *Income and earnings disregards*

CRA does not have a separate income or assets test, however, the rate of CRA payable may be affected by the income or assets test applicable to the primary payment with which it is paid.

Public housing rents and rebate structures are set and operated by state and territory governments at levels that ensure that tenants pay no more than between 20-25 per cent of their net income in housing costs. Net income for public rent purposes generally includes adult income support payments and some or all of Family Tax Benefit.

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5.2.3 *Costs eligible for housing benefits*

5.3 *Tax treatment of benefit and interaction with other benefits*

Commonwealth Rent Assistance is not taxable.

6. Family benefits

Family Tax Benefit Part A (FTB Part A) is provided to families with children, subject to a family income test, and includes additional supplements for large families and multiple births. Family Tax Benefit Part B (FTB Part B) is paid to families with one main income, including single parents.

Family Tax Benefit is paid either fortnightly based on an estimate of 'adjusted taxable income', or as a lump sum after the end of the financial year, when final taxable income is known. An end of year supplement is available for FTB Part A and FTB Part B when payments are reconciled following the lodgement of tax returns. Payments may also be reconciled using an income assessment if a family does not need to lodge a tax return.

The Schoolkids Bonus provides additional assistance for parents and carers of eligible school aged children to help with education expenses such as uniforms, books, school fees and sports registration fees.

Furthermore, Clean Energy Advance (CEA) and Clean Energy Supplement (CES) were introduced as tax-exempt payments to help meet the impacts of carbon pricing (introduced in July 2012) on living expenses (see Section 3 for further information).

The Paid Parental Leave scheme supports working parents to take time off work to care for a new-born or recently adopted child. A new parent (usually the birth mother) may be eligible for up to 18 weeks of Parental Leave Pay at the rate of the national minimum wage. The Government-funded payment is paid by employers to their eligible long-term employees or by Centrelink directly to other eligible parents including the self-employed.

Dad and Partner Pay is a new payment under Paid Parental Leave scheme from 1 January 2013. It provides up to two weeks' pay at the rate of the national minimum wage to eligible working dads or partners (including adoptive parents and same-sex couples) who care for a child born or adopted from 1 January 2013. Dad and Partner Pay enables dads and partners to take time off work to bond with their child and support mums or partners during this time. It is paid by Centrelink. Dads or partners must be on unpaid leave or not working during their Dad and Partner Pay period.

Baby bonus provides financial support to new parents to assist with the set-up costs of having a baby or adopting a child. Baby Bonus is paid in 13 fortnightly instalments. Parental Leave Pay and Baby Bonus cannot be paid for the same child. Families who are eligible for both payments may choose the payment that is right for them. The Baby Bonus will be abolished from 1 March 2014, and replaced with a FTB Part A increased with the Newborn Supplement following a birth or adoption, of AUD2,001.50 for a first child and AUD1,000.50 for subsequent children. Families claiming Parental Leave Pay will not be eligible for this increase.

Double Orphan Pension (DOP) is a fortnightly payment of AUD57.90 available for carers of children who are orphaned or who have one parent deceased and the whereabouts of the other parent is unknown, or the other parent is in prison for at least ten years, or the other parent is a patient of a psychiatric hospital or nursing home indefinitely.

6.1 Conditions for receipt

Family Tax Benefit payments are for the parents or guardians of dependent children and are paid subject to income testing and residence requirements.

- To receive FTB Part A, a family must have a dependant aged up to 19 years.
- A person is not a qualifying child for FTB purposes if:

- they receive an income support payment in their own right, for example Youth Allowance (see Section 3),
 - they are aged 5 to 15 years, not in full-time study and are earning AUD13,775 or more during the income year,
 - they are aged 16-19 and not in full-time secondary study and are earning AUD13,775 or more during the income year,
- To receive FTB Part B, a family must have an 'FTB child' aged under 16 years, or a dependent full-time student up to the age of 18.

In cases where the care of a child is shared between two (or more) adults who are not members of the same couple, the 'per child' rate of FTB Part A for the child can be 'shared' between the adults based on the percentage of care provided to the child by each adult (so long as an adult's percentage of care provided to the child is equal to or in excess of 35 per cent).

Families eligible for FTB Part A may also be eligible to receive the Schoolkids Bonus for each dependent child in primary or secondary study.

To receive Parental Leave Pay, a person may be eligible if they:

- are the primary carer of a new-born or recently adopted child, usually the mother
- have met the Paid Parental Leave residency requirements
- have met the Paid Parental Leave work test before the birth or adoption occurs, which means they have worked for at least 10 of the 13 months prior to the birth or adoption of their child, and worked for at least 330 hours in that 10 month period, with no more than an eight week gap between consecutive working days
- have received an individual adjusted taxable income of AUD150,000 or less in the financial year prior to the earlier of the date of claim or the date of birth or adoption, and
- are on leave or not working from the time the parent becomes the child's primary carer until the end of their Paid Parental Leave period.

To receive Dad and Partner Pay, introduced on 1 January 2013, a person may be eligible if they:

- are caring for a child born or adopted from 1 January 2013
- have met the Paid Parental Leave residency requirements
- are the biological father of the child, or the partner of the birth mother, or an adoptive parent
- have met the Paid Parental Leave work test before the start of their Dad and Partner Pay period, which means they have worked for at least 10 of the 13 months prior to the start of their Dad and Partner Pay period, and worked for at least 330 hours in that 10 month period, with no more than an eight week gap between consecutive working days, and
- are on unpaid leave or not working during their Dad and Partner Pay period.

To receive Baby Bonus, a person must:

- have a dependent child who entered their care within 26 weeks of the child's birth or adoption;
- have a family income of AUD75,000 or less in the six months following the birth or adoption; and
- claim the payment within one year starting from the day of the child's birth or in the case of adoption from the day the child becomes entrusted to the person's primary care.

6.2 *Calculation of benefit amount*

The amount of Family Tax Benefit families receive varies according to the number, ages and personal circumstances of the children, and the personal circumstances and income of parents.

The Schoolkids Bonus is paid in two equal instalments each year of:

- AUD205 for each eligible child in primary study (AUD410 per year) and
- AUD410 for each eligible child in secondary study (AUD820 per year).

For the respective rates of the Clean Energy Advance payments to recipients of Family Tax Benefit, refer to Section 3.2.1.

From 1 January to 30 June 2013, eligible working parents will receive Parental Leave Pay at the rate of the National Minimum Wage, AUD606.50 a week before tax, for a period of up to 18 weeks.

Eligible working dads or partners will receive the new payment, Dad and Partner Pay, at the same rate as Parental Leave Pay, for a period of up to two weeks.

For children born or adopted on or from 1 September 2012 to 30 June 2013, eligible Baby Bonus recipients will receive a payment of AUD5000 for each child, paid in 13 fortnightly instalments. A higher amount of AUD846.20 is paid in the first instalment, followed by 12 instalments of AUD346.15.

Note: From 1 July 2013, the rate of Baby Bonus will reduce from AUD5000 to AUD3000 for second and subsequent children born or entrusted to care as part of an adoption process on or after 1 July 2013. Eligible Baby Bonus recipients will receive a higher amount of AUD692.40 in the first instalment, followed by 12 instalments of AUD192.30.

Baby Bonus for first children and children born as part of a multiple birth will continue to be paid at the rate of AUD5000. From 1 July 2012 indexation (in line with the Consumer Price Index) will not be applied to the Baby Bonus payment rate.

6.2.1 *Calculation of gross benefit*

Family Tax Benefit (FTB)

The maximum rate of FTB Part A comprises a rate paid for each dependent child, the Large Family Supplement for families with three or more children and Multiple Birth Allowance for families with children with triplets or quadruplets aged under 16 years (or 18 years if in full-time secondary study). For private renters, maximum rates of FTB Part A also include Rent Assistance (RA), calculated as outlined in Section 5. Family Tax Benefit Part A is also available at a lower per child 'base rate' of payment that is subject to an income test with a higher income disregard. The base rate of payment for a family is calculated as the sum of the base rates for all FTB children and may also include Large Family Supplement and Multiple Birth Allowance.

Family Tax Benefit Part B is a family-based payment where the maximum rate of payment is based on the age of the youngest child. The 2012 – 13 maximum rates of FTB are outlined in the following tables. The fortnightly rates of FTB Part A and FTB Part B exclude the 'per child' FTB Part A supplement and the 'per income unit' FTB Part B supplement, as the supplements can only be paid after the end of the income year when family income can be fully assessed. FTB rates of payment are indexed on 1 July each year to reflect

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changes in the broad cost of living as measured by the Consumer Price Index. Indexation of the FTB Part A supplement and the FTB Part B supplement is paused until 30 June 2017.

2012-13 rates (AUD)

Family Tax Benefit Part A

	Fortnightly rate	Yearly rate*
Child under 13	169.68	5,150.15
Child 13-15	220.64	6,478.75
Child 16-19 secondary student, or exempt from requirement	220.64	6,478.75
Child 16-17 completed Year 12 or equivalent	54.32	2,142.55
Large Family Supplement (for third and subsequent children)	11.76	306.60
Multiple Birth Allowance (payable until the children are 16 years of age, or if at least three of the children are in full-time study, until the end of the calendar year in which they turn 18)	140.84 (triplets) 187.60 (quads or more)	3,671.90 (triplets) 4,891.00 (quads or more)
Base rate, child under 18	54.32	2,142.55

*FTB Part A per year figures include the FTB Part A Supplement (AUD726.35 per child for the 2012 – 13 financial year) but the fortnightly figures do not.

Family Tax Benefit Part B

Age of youngest child	Fortnightly rate	Yearly rate*
Under 5 years	144.34	4,117.20
5 - 15 years, (or 16 - 18 years if a full-time student)	100.66	2,978.40

*The FTB Part B yearly figures include the FTB Part B Supplement of AUD354.05 per year but the fortnightly figures do not.

Source: A guide to Australian Government payments.

6.2.2 *Income and earnings disregards*

FTB Part A and its components (Rent Assistance, Multiple Birth Allowance and Large Family Supplement) are income tested. Income for the purposes of FTB income tests is 'adjusted taxable income' (ATI) and includes taxable income (including taxable income support payments), target foreign income, certain employer provided fringe benefits, certain tax-free pensions or benefits, reportable superannuation contributions and total net rental property losses, minus any child support paid. Child support or maintenance income is subject to a separate income test. FTB Part A is subject to a family income test and the maintenance income test (MIT). 'Family income' is the ATI of the parent claiming payment and their partner.

- The family income test does not apply to those who receive, or whose partners receive, an income support payment such as a social security pension or benefit, or a Department of Veterans' Affairs service pension.
- The family income test does not apply to families with income below AUD47,815.

- Each dollar of family income above AUD47,815 reduces the maximum rate of FTB Part A by 20 cents in the dollar. The payment rate is calculated using this income test until the rate is reduced to the base (or minimum) rate of FTB Part A for the family.
- The base rate of FTB Part A is available until family income reaches AUD94,316 per year (plus AUD3,796 for each FTB child after the first). FTB Part A is then reduced by 30 cents for every dollar over that amount until the payment reaches nil.
- Maintenance income above specified income disregards (or free areas) reduces the more-than-minimum rate of FTB Part A (including Rent Assistance) by 50 cents in the dollar until the base rate of FTB Part A for the family is reached.

Income limit beyond which only base rate of Family Tax Benefit Part A is paid (In AUD per year).

Number of children 0-12 years	Number of Children 13-15 years or secondary students 16-19 years			
	None	One	Two	Three
None		69,496	91,177	n/a
One	62,853	84,534	n/a	n/a
Two	77,891	99,572	n/a	n/a
Three	92,929	n/a	n/a	n/a

Note: The income limit is higher if the claimant is eligible for Rent Assistance.

Income limit at which Family Tax Benefit Part A stops* (In AUD per year)

Number of children 0-12 years	Number of Children 13-15 years or secondary students 16-19 years			
	None	One	Two	Three
None		101,458	112,603	146,530
One	101,458	112,396	139,887	173,813
Two	112,396	133,244	167,170	201,097
Three	126,601	160,527	194,454	228,381

* Income limits include the effect of the 'per child' AUD726.35 per year FTB Part A supplement. Families with income approaching these amounts may only be paid FTB Part A at the end of the income year and not as fortnightly payments. The income limit is higher if the claimant is eligible for Multiple Birth Allowance.

Source: A Guide to Australian Government payments.

Family Tax Benefit Part B for couple families has two income tests. Eligibility is restricted to families where the primary income earner earns less than AUD150,000. An income test on the 'second' or lower income earner determines the FTB Part B amount. Single parents automatically receive the maximum amount if they earn less than AUD150,000. For second earners every dollar of income (including income support payments) above AUD5,037 a year reduces payment by 20 cents in the dollar. A second earner can still get some FTB Part B if their income is below*:

- AUD25,623 a year if their youngest FTB child is under 5 years of age; or
- AUD19,929 a year if their youngest FTB child is between 5 and 18 years of age inclusive.

*Income limits include the FTB Part B Supplement of AUD354.05 per year that can only be paid after the end of the income year.

Family Tax Benefit income test thresholds are indexed in July each year to reflect changes in the broad cost of living as measured by the Consumer Price Index. Indexation of the higher income free threshold for FTB Part A is paused until 30 June 2017.

6.3 Tax treatment of benefit and interaction with other benefits

Family Tax Benefits and Baby Bonus are not taxable. Baby Bonus does not count as income for other family payments or income support payments.

Parental Leave Pay and Dad and Partner Pay are taxable. Parental Leave Pay counts as income for other family payments but does not count as income for income support payments such as Parenting Payment.

Parental Leave Pay and Baby Bonus cannot be paid for the same child. If parents meet the eligibility criteria for both payments, they can choose which payment to receive. Most eligible parents will be better off receiving Parental Leave Pay rather than Baby Bonus.

If parents choose to receive Parental Leave Pay, they will not be eligible for FTB Part B and the dependent spouse tax offset during the 18-week Paid Parental Leave period.

7. Childcare for pre-school children

Proportion (%) of Australian population using 'approved' child care in June 2011, by type of child care and age of child:

Ages	Before and After School Care	Centre Based Long Day Care	Family Day Care	Occasional Care	Total
0-4 years of age	0	31	4	2	37%
5-11 years of age	13	1	1	0	15%
All children 0-11 years	8	14	2	1	24%

Note: Children aged over 11 years have been excluded from this analysis.

Source: ABS, Childhood Education and Care, Australia, June 2011, Catalogue number 4402.055003DO010_201106

School Starting Age

Compulsory and minimum school starting ages are determined in each Australian State and Territory. Variations between the States and Territories regarding school starting ages and the nomenclature used in respect of the first year of compulsory schooling are detailed below.

STATE	NOMENCLATURE	MINIMUM STARTING AGE	COMPULSORY STARTING AGE
NSW	Kindergarten	5 by 31 July in year of entry	6
VIC	Preparatory	5 by 30 April in year of entry	6
QLD	Preparatory	5 by 30 June in year of entry	6
WA	Kindergarten	4 by 30 June in year of entry	From the beginning of the year that the child turns 6 years and 6 months
SA	Reception	At the beginning of the term after they turn 5 (continuous intake)	6
TAS	Kindergarten	4 by 1 January in year of entry	5 by 1 January in year of entry

NT	Preparatory	5 by 30 June in year of entry	6
ACT	Kindergarten	5 by 30 April in year of entry	6

7.1 *Out-of-pocket childcare fees paid by parents*

The Australian Government does not set or regulate the fees that parents are charged by individual child care services. Variation in costs occurs as a result of factors including State and Territory licensing requirements, award wages, and whether fees include charges for additional services such as nappies and meals.

Child care fees are not tax deductible, and are not taken into account when assessing entitlements for other benefits. A means tested fee subsidy, Child Care Benefit (CCB), is payable to eligible parents using CCB approved care. The rate of CCB depends on a number of factors. See Section 7.2.2.1 below.

In addition to CCB, the Australian Government provides the Child Care Rebate (CCR), which is not means tested. The CCR covers 50 per cent of the family's out-of-pocket child care costs (after the CCB entitlement is deducted) for CCB approved child where the parents meet the work, training, or study test at some time during a week or have an exemption, up to an annual cap per child per year. The annual limit for CCR payable for child care costs incurred in 2012 - 13 is AUD7500 per child per year.

Full-time care

The median full-time long day care fee for centre-based care in the March quarter 2012 was AUD340.78 per week (Source: Report on Government Services 2013).

7.2 *Child Care Benefit*

The Australian Government provides child care fee assistance to families by way of Child Care Benefit (CCB). Families using child care services approved under family assistance law to receive CCB on behalf of families, or registered carers, may receive CCB. CCB approved child care services include most long day care, family day care, outside school hours care, vacation care, occasional care and in home care services. Registered care is care for work-related purposes which is provided by relatives, friends or nannies registered as carers with the Australian Government Department of Human Services.

Families using CCB approved child care services can either elect for their child care service to receive CCB on their behalf, which reduces the amount of up-front fees the family pays, or claim CCB as a lump sum at the end of the financial year. Families using registered care can access CCB at the registered care rate from the Department of Human Services upon presentation of child care fee receipts and a claim form. Eligible families using CCB approved care can access greater rates of CCB than families using registered care.

7.2.1 *Conditions for receipt*

Families using CCB approved care may be eligible for CCB for up to 24 hours per child per week without having to meet the work, training study test. Families may be eligible for CCB approved care for up to 50 hours of care per child per week if both parents are (or a single parent is):

- working, training, studying
- looking for work at least 15 hours a week or 30 hours a fortnight, or
- have an exemption.

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Families using registered care are eligible for CCB for up to 50 hours per child per week if they are working, training or studying at some time during the week or have an exemption. No minimum number of hours is required.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

Families with children in CCB approved child care services are eligible for CCB at a rate determined by their family income, the number of children in care, the amount of care they use, the reason they are using care and the type of child care they use. Families with children in registered care are eligible for CCB at the registered care rate only. CCB is paid at a standard hourly rate, not determined by fee charging practices. Non-school children are eligible for 100 per cent of the current CCB rate; school children are eligible for 85 per cent of the current (non-school) CCB rate.

Part-time loadings apply to CCB payments for family day care and long day care. For one child in part-time family day care a loading of 33.33 per cent applies up to 37.5 hours of care, and tapers progressively to 0 per cent from 37.5 to 50 hours of care. For one child in long day care a 10 per cent loading applies up to 33 hours. From 34 to 38 hours of care the loading tapers progressively from 8 per cent to 0 per cent. .

For the 2012-13 income year, the maximum rate of CCB for one non-school child in an approved centre based long day care service is AUD3.90 per hour. The rates for school children are set at 85 per cent of the non-school child rates. This equates to a maximum of AUD195.00 per week for a non-school child using up to 50 hours of care.

The rate of CCB for children in registered care is AUD0.652 per hour (up to AUD32.60 per week) for non-school children. The rates for school children are set at 85 per cent of the non-school child rates.

CCB rates of payment are subject to annual indexation in July each year to reflect changes in the broad cost of living as measured by the Consumer Price Index.

There are 3 methods for determining the Maximum Weekly Benefit (MWB) (1.1.M.27) for CCB. The method to use depends on the number of children in the type of care, and on whether the individual's ATI exceeds the upper income threshold (1.1.I.70).

Method 1

The following table shows the amounts to use for method 1, where there are 2 or 3 children in care and the family's adjusted taxable income (ATI) is below the upper income threshold or the family is in receipt of an income support payment:

Income year	MWB for 2 children	MWB for 3 children
2012-13	(Standard hourly rate x 100) + AUD17.53	(Standard hourly rate x 150) + AUD50.95

Method 2

The following table shows the amounts to use for method 2 where there are 4 or more children in care and the family's ATI is below the upper income threshold or the family is in receipt of an income support payment:

Income year	Step 1 action	Step 2 action
2012-13	(Standard hourly rate x 150) + AUD50.95	To the result from step 1, add, for each child after the third, (standard hourly rate x 50) + (AUD50.95 ÷ 3)

Method 3

The following table shows the specific taper amount (1.1.S.95), used in method 3 where a family's ATI is above the upper income threshold, and there is more than one child in care:

Income year	Specific taper amount
2012-13	AUD157.22

7.2.2.2 Income and earnings

CCB for approved child care is income tested on family income using the same measure of income that is used for FTB Part A, namely, family 'adjusted taxable income' (ATI). The CCB rate for CCB approved child care is gradually reduced as family income increases, to the point where families receive the zero rate of CCB. The taper rate applied varies according to the number of children in child care.

Families with yearly income below AUD41,026 per year, or those in receipt of an income support payment, receive the maximum rate of CCB. Families with income above the income limits do not receive any CCB. If CCB entitlement is zero due to income, families may still be eligible for CCR. CCB is not payable over the following income limits:

- AUD142,426 for a family with one child in approved child care.
- AUD147,594 for a family with two children in approved child care.
- AUD166,656 for a family with three children in approved child care, plus an additional AUD31,495 for each further child in approved child care.

CCB for registered care is only available at the registered care rate and as such is not means-tested.

The following table shows the taxable income taper percentage according to the number of children in care, for a given level of income.

Number of children in approved care	Recipient's annual income	Taxable income taper percentage
1	Any amount	10 per cent
2 or more	Less than the upper income threshold	15 per cent
2	More than the upper income threshold	25 per cent
3	More than the upper income threshold	35 per cent

Income thresholds

The following table shows the income thresholds (1.1.I.70) for CCB, in AUD:

Income year	One child - income threshold	More than one child - lower income threshold	More than one child - upper income threshold
2012-13	41 026	41 026	95 530

CCB income thresholds are subject to annual indexation in July each year to reflect increases in the CPI.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

CCB is not taxable. CCB is taken into account when assessing entitlement for CCR. See Section 7.3 below.

7.2.4 *Treatment of particular groups*

Not applicable

7.3 ***Child Care Rebate***

On 1 July 2009, the Child Care Tax Rebate was renamed the Child Care Rebate (CCR) in recognition that the rebate is no longer a tax offset under the taxation legislation but is paid to families under the Family Assistance Law by the Department of Human Services.

If a claimant meets CCB eligibility conditions, they may be entitled to receive the CCR even if they are only eligible for a CCB rate of zero. Under the CCR, parents using CCB approved care for work related purposes or who have an exemption can claim 50 per cent of their 'out-of-pocket' (after CCB is deducted) costs for child care up to an annual cap per child per year. Eligible families may choose to receive the CCR on a fortnightly (sometimes weekly) basis, paid either to a child care service as a fee reduction or directly to their bank account. Alternatively, they still have the option to receive the CCR quarterly or annually as a lump sum paid by the Department of Human Services.

7.3.1 *Conditions for receipt*

Parents receiving CCB at a rate of zero or more for approved care for work related purposes or who have an exemption may claim the CCR.

7.3.2 *Calculation of benefit amount*

The annual cap for CCR payable for expenses incurred in 2012-13 is AUD7500 per child per year.

8. Employment-conditional benefits

Not applicable

9. Lone-parent benefits

9.1 *Conditions for receipt*

As outlined in Section 3, Parenting Payment (PP) is an income support payment available to single parents or one member of a couple with the care of a dependent child (a) under 8 years of age in the case of a single parent and (b) under 6 years of age in the case of a couple. A child can only be the 'PP child' of one person. There are two different categories – PP (Single) for single parents and PP (Partnered) for a parent who is a member of a couple.

To be eligible for PP (Single), a claimant must have been resident in Australia for at least two years or have become a single parent whilst resident in Australia. PP (Single) is a non-activity tested payment for recipients whose youngest 'PP child' is under 6 years of age, and an activity tested payment for those recipients whose youngest 'PP child' is 6 years of age or older, but under 8 years of age (as outlined in Section 3.1). PP is subject to an asset test as outlined in Section 3.1.

Lone parents entitled to Parenting Payment, Youth Allowance or Newstart Allowance are also entitled to Income Support Bonus (see Section 3) and may receive Pharmaceutical and Telephone Allowances, Refer to Section 9.2.1.1 for additional irregular payments.

9.2 *Calculation of benefit amount*

9.2.1 *Calculation of gross benefit*

The maximum rate of PP (Single) is AUD683.50 per fortnight. The Telephone Allowance amounts to AUD25.60 per quarter. The Pharmaceutical Allowance to AUD6.20 per fortnight. Both are available to lone parents on PP (Single) but also to recipients of NSA and YA who are the single principal carer for a dependent child. The maximum basic rate is indexed to changes in the Consumer Price Index in March and September each year and is also benchmarked to 25 per cent of Male Total Average Weekly Earnings. This amount includes an additional pension supplement that is indexed to changes in the CPI, which is currently AUD21.30. Since March 2013 PP (Single) recipients can also receive an additional Clean Energy Supplement that is indexed to changes in CPI, which is currently AUD11.60. Recipients are also entitled to the maximum rate of FTB Part A (unless the rate is reduced by the maintenance income test) and FTB Part B. For calculation of the Income Support Bonus (ISB) refer to Section 3.2.1.

9.2.1.1 *Irregular additional payments*

- As outlined in section 3.2.1.1
- Pensioner Education Supplement
- Education Entry Payment
- Language Literacy and Numeracy Supplement
- Approved Program of Work Supplement
- Mobility Allowance

9.2.2 *Income and earnings disregards*

PP (Single) has an income free area of AUD176.60 per fortnight plus AUD24.60 for each additional dependent child after the first. Income above the free area reduces payment at the rate of 40

cents for each AUD. A single parent with one child is entitled to a part payment if their income is below AUD1914.35 a fortnight plus AUD24.60 for each additional child.

The rate of PP (Single) may also be affected by the Working Credit scheme that operates as outlined in Section 3.2.

The income free area, excluding the additional amount for each dependent child, is indexed in July each year to reflect changes in the broad cost of living as measured by the Consumer Price Index.

9.3 Tax treatment of benefit and interaction with other benefits

Parenting Payment is assessable income for tax purposes. PP (Single) recipients are eligible for Seniors and Pensioners Tax Offset (SAPTO).

9.4 Benefit duration

There are no restrictions on the duration of payment.

10. Tax system

As the Australian income tax year commences on 1 July, the following relates to the 2012-13 income tax year.

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

Basic reliefs: Taxable income earned up to AUD18,200 per year by resident taxpayers is subject to tax at a zero rate.⁴

10.1.1.2 Standard tax credits

Standard marital status relief: A taxpayer may claim a tax credit where he or she contributes to the maintenance of a dependent spouse (legal or de facto). From 1 July 2012, eligibility for the dependent spouse tax offset is confined to taxpayers with a dependent spouse born before 1 July 1952. For eligible families, during 2012-13, this credit amount was AUD2,423 for a dependent spouse without dependent children. The credit reduces by AUD1 for every AUD4 by which the spouse's adjusted taxable income exceeds AUD282. An income test applies so that the offset is not available where the primary earner's adjusted taxable income exceeds AUD150,000.

Relief for low income earners: A tax credit of AUD445 is available for taxpayers whose taxable income does not exceed AUD37,000 per year. This credit is reduced by 1.5 cents for every AUD1 by which the taxpayer's taxable income exceeds AUD37,000 per year, and no tax credit is available once the taxpayer's taxable income equals AUD66,667 per year.

The beneficiary tax offset is generally available to recipients of taxable income support payments that are classified as 'social security benefits'. The benefits included are Newstart Allowance, Parenting Payment

⁴ Refer to the definition of tax free threshold in sec.3(1) of the *Income Tax Rates Act 1986*. as amended by the *Clean Energy (Income Tax Rates Amendments) Act 2011*.

(Partnered), Youth Allowance, Widow Allowance, Mature Age Allowance, Partner Allowance, Sickness Allowance, Special Benefit and Austudy Payment. The tax offset is calculated using the following formula:

- If the person's benefit amount is not more than AUD37,000 per year:

$$\text{Beneficiary tax offset} = 15 \text{ per cent of the difference between the amount of benefit or allowance received per year and AUD6,000}$$
- If the person's benefit amount is more than AUD37,000 per year:

$$\text{Beneficiary tax offset} = (\text{the same formula as above}) + 15 \text{ per cent of the difference between the amount of benefit or allowance received per year AUD37,000 per year.}$$

From 1 July 2012 the **seniors and pensioners tax offset** (SAPTO) is available to people who meet certain conditions relating to their income and eligibility for an Australian government pension, or are of Age Pension age, have taxable income for the relevant financial year less than the applicable cut-out threshold (see below) and were not in gaol for the whole of the financial year.

Seniors and Pensioners Tax Offset

AUD per year

	Maximum tax offset amount	Shade-out threshold	Cut-out threshold
Single	2 230	32 279	50 119
Couple			
General (each)	1 602	28 974	41 790
Separated due to illness (each)	2 040	31 279	47 599

The shade-out threshold is the maximum income at which taxpayers eligible for the SAPTO will receive the maximum tax offset amount. The tax offset reduces by 12.5 cents for each dollar of income in excess of the shade-out threshold.

The cut-out threshold is the level of income of a single person or a couple where the SAPTO is reduced to nil.

Members of a couple who are both eligible to receive the SAPTO may transfer the 'unused amount' to their partner if their partner is also eligible for the SAPTO. A higher level of SAPTO is available to eligible members of a couple who are separated due to illness.

The mature age worker tax offset is available to eligible taxpayers who are Australian residents for tax purposes, were born before 1 July 1957, and who have (within certain limits) received net income from working. For the 2012-13 year, where net income from working is below AUD10,000, the tax offset accumulates at a rate of 5 cents for every AUD1 earned. The maximum tax credit of AUD500 per year is available where net income from working is between AUD10,000 and AUD53,000 per year. Where net income from working is in excess of AUD53,000 per year, the tax credit is reduced by 5 cents for each additional AUD1 earned, so that no tax credit is available where net income from working exceeds AUD63,000 per year. The mature age worker tax offset can only reduce your tax liability to nil. Any unused portions cannot be refunded or transferred to another taxpayer.

The Dependant (Invalid and Carer) tax offset is available to a taxpayer who cares for an invalid or maintains someone who cares for an invalid. Either the carer or invalid must be in receipt of certain government payments. The maximum amount for 2012-13 that could be claimed for each dependant was AUD2423. The offset reduces by AUD1 for every AUD4 by which the dependant's adjusted taxable income exceeds AUD282. An income test applies so that the offset is not available where the adjusted taxable income of the taxpayer (and their spouse if they have one) exceeds AUD150 000.

The private health insurance rebate is an amount that the government contributes towards the cost of a person's private health insurance premiums. Each adult on a private health insurance policy is entitled to

claim their share of rebate entitlement. Alternatively, a taxpayer can claim their rebate entitlement through the income tax system when they lodge their income tax return.

The rebate percentage a person can claim depends on the oldest person named on the private health insurance policy. From 1 July 2012, the private health insurance rebate is also income tested based on income for surcharge purposes. This means that if a person has higher income, their rebate entitlement may be reduced, or they may not be entitled to receive any rebate at all. The various income thresholds are explained below.

Entitlement by income threshold for 2012-13:

Base tier - If you are a single earning AUD84,000 or less, or a family earning AUD168,000 or less, you will get a rebate of:

- 30 per cent, if the policy members are under 65 years
- 35 per cent, if one or more policy members are between 65 and 69 years
- 40 per cent, if one or more policy members are 70 years or older

Tier 1 - If you are a single earning between AUD84,001 and AUD97,000, or a family earning between AUD168,001 and AUD194,000, you will get a rebate of:

- 20 per cent, if the policy members are under 65 years
- 25 per cent, if one or more policy members are between 65 and 69 years
- 30 per cent, if one or more policy members are 70 years or older

Tier 2 - If you are a single earning between AUD97,001 and AUD130,000, or a family earning between AUD194,001 and AUD260,000, you will get a rebate of:

- 10 per cent, if the policy members are under 65 years
- 15 per cent, if one or more policy members are between 65 and 69 years
- 20 per cent, if one or more policy members are 70 years or older

Tier 3 - If you are a single earning AUD130,001 or more, or a family earning AUD260,001 or more, you will not get a rebate regardless of age.

*The family income threshold is increased by AUD1,500 for each Medicare levy surcharge dependent child after the first child. The income thresholds are indexed annually.

10.1.2 Income tax schedule (central government income tax)

General rates of tax - resident individuals - 2012-13

Taxable income per year (AUD)		Tax at general rates on yearly total taxable income
Not less than	Not more than	
0	18,200 200	NIL
18,201	37,000	NIL + 19c for each AUD in excess of AUD18,200 per year
37,001	80,000	AUD3,572 per year + 32.5c for each AUD in excess of AUD37,000 per year
80,001	180,000	AUD17,547 per year + 37c for each AUD in excess of AUD80,000 per year
180,001 and over		AUD54,547 per year + 45c for each AUD in excess of AUD180,000 per year

To contribute towards the cost of basic medical and hospital care a Medicare Levy is imposed on the taxable incomes of resident taxpayers. In 2012-2013 the levy generally applies at the rate of 1.5 per cent of the taxable income of an individual.

Certain thresholds are applied before the levy is imposed. In 2012-13, an individual taxpayer does not pay the levy where their taxable income does not exceed AUD20,542. A taxpayer in a couple or sole parent family does not pay the levy if the family's taxable income does not exceed AUD33,693. The threshold is increased by AUD3,094 for each dependent child. Where an individual's taxable income exceeds AUD20,542, (but does not exceed AUD24,167) or a family's income exceeds AUD33,693 (plus AUD3,094 for each dependent child), the levy shades in at a rate of 10 per cent of the excess of taxable income over the threshold, until the levy is equal to 1.5 per cent of the individual's or family's taxable income. Pensioner families (including couples and sole parents on Parenting Payment) and senior Australian families of Age Pension age, do not pay any Medicare levy until their combined income exceeds AUD46,000 (plus AUD3,094 for each dependent child).

For 2012-13, taxpayers who are eligible for the Seniors and Pensioners tax offset do not pay the levy where their taxable income does not exceed AUD32,279. Where taxable income exceeds AUD32,279 but does not exceed AUD37,975 shading in provisions apply under which the levy payable is 10 per cent of the excess of taxable income over AUD32,279.

High income taxpayers without adequate private health care cover for the full year and whose income is more than the relevant income test threshold, face paying a Medicare levy surcharge (MLS). From 1 July 2012, if you become liable for MLS, your MLS rate can either be 1%, 1.25% or 1.5%.

The income test thresholds and rate of MLS is found in the following table:

Singles thresholds	AUD84,000 or less	AUD84,001 - AUD97,000	AUD97,001 - AUD130,000	AUD130,001 or more
Families thresholds	AUD168,000 or less	AUD168,001 - AUD194,000	AUD194,001 - AUD260,000	AUD260,001 or more
Medicare levy surcharge rate	0%	1%	1.25%	1.5%

The MLS rate is applied to a taxpayer's taxable income, total reportable fringe benefits, and any amount on their income on which family trust distribution tax has been paid.

The MLS is typically not imposed as the cost of private health insurance cover is generally less than the surcharge.

10.1.3 *State and local income taxes*

In Australia, no states or territories levy a tax based on a resident's income.

10.2 *Treatment of family income*

Not applicable

10.3 *Social security contributions and payroll taxes*

Part of Australia's retirement income system is the provision of compulsory employer contributions (the Superannuation Guarantee system). The Superannuation Guarantee requires employers to pay 9 per cent on top of employees' gross ordinary time earnings to an approved superannuation fund,

provided they earn more than AUD450.00 per month. However, they may choose to make contributions for workers earning less than this threshold. This threshold is not indexed. Under existing law, the 9% will progressively increase each year starting with 9.25% for the 2013-14 tax year up to 12% by the 2019-20 tax year. There is also a limit to the Guarantee. In each quarter any earnings beyond a threshold are not covered by the Superannuation Guarantee. This threshold is indexed to a measure of average earnings. In the 2012-13 tax year this threshold was AUD45,750 per quarter. These contributions are not reflected in the 'Tax-Benefits' calculations because they are not a form of taxation (they are not an unrequited transfer to general government). There is also a Medicare levy which is based upon taxable income (see Section 10.1.2).

10.3.3 Payroll taxes

Australian State Governments levy payroll taxes on wages, cash or in kind, provided by larger employers to their employees. The rates of payroll tax, thresholds and deductions differ across States. In New South Wales, the State with the largest population, the payroll tax rate was 5.45 per cent in 2012-13. The employer is entitled to an exemption from tax, or a pro-rated payroll tax threshold, on wages paid in New South Wales up to a maximum of AUD689,000. The exempt amount is reduced based on the proportion of the employer's New South Wales pay-roll to total Australian payroll.

Pay-roll tax revenue is not used to fund social security payment. It forms part of the consolidated revenue of State Governments, which do not deliver social security.

10.4 Treatment of particular group

10.4.1 Young persons

There is no special tax treatment for young persons.

10.4.2 Older workers

A mature age workers tax offset is available (see Section 10.1.1).

11. Part-time work

All income support recipients are able to engage in part-time work while receiving payment, subject to the operation of the relevant payment's income tests (see Sections 3.2.2, 4 and 9.2.2). While a person in full-time paid work is not eligible to receive unemployment payments, a person in full-time work is not excluded from all income support payments. For example, a part-rate of Parenting Payment (Single) may be paid to a single parent with one child if income is below AUD1914.35 per fortnight.

11.1 Special benefit rules for part-time work

There are no benefit rules relating to part-time work.

11.2 Special tax and social security contribution rules for part-time work

There are no special tax or social security contribution rules for part-time work.

12. Policy developments

12.1 Policy changes introduced before 1 July 2013

Baby Bonus – Rate Reset

- For babies born or adopted on or from 1 September 2012, the Baby Bonus rate will be reset to AUD5000. The Baby Bonus will continue to be paid in 13 fortnightly instalments, with the first instalment of AUD846.20 and the balance being paid in 12 fortnightly instalments of AUD346.15.

Newstart Allowance – Change to income test taper rate for single principal carers

- From 1 July 2012, the minimum age of eligibility for NSA was changed to 22 years to align with the age of independence for full-time students receiving YA.
- From 1 January 2013, a more generous income test was introduced for single principal carers on NSA. The existing income test taper rates of 50 and 60 cents in the dollar were replaced with a single taper rate of 40 cents in the dollar, allowing eligible recipients to earn more per fortnight before they lose eligibility for NSA.

Learn or Earn measure for Early School Leavers

From 1 July 2012, Learn or Earn requirements for Early School Leavers were extended to 21 year olds who do not have a Year 12 or equivalent qualification.

Youth Allowance (Other) – Changes to eligibility and income test

- From 1 July 2012, NSA was closed to new claimants aged 21 years who would instead be eligible to claim YA (Other). These reforms aimed to improve study incentives and strengthen participation requirements and included extending Earn or Learn requirements to 21 year old YA (Other) recipients who do not have a Year 12 or equivalent qualification.
- To improve work incentives for unemployed young people on YA (Other), from 1 July 2012 the income test ‘free area’ was increased from AUD62.00 pf to AUD143.00 pf and Working Credit was increased from AUD1000.00 to AUD3500.00.

Family Tax Benefit Part A – Changes to age of eligibility

- From 1 January 2013, FTB Part A will be focused on supporting families with young children at school. Under this change, young people aged 18 or over will no longer have access to FTB Part A unless they are in full time secondary study.

Family Tax Benefit: Clean Energy Supplement

From 1 July 2013, the Clean Energy Supplement will be payable to recipients of FTB payments. The CES is a tax-exempt payment that provides assistance to meet the ongoing impacts of carbon pricing on living expenses.

Disability Support Payment (DSP)

From 1 July 2012 participation requirements were introduced for certain DSP recipients aged under 35 with some work capacity. Eligible DSP recipients must now attend regular Participation Interviews with the Department of Human Services; and

A new policy was introduced that is designed to encourage DSP recipients to work. DSP recipients can now work up to 30 hours a week (increased from 15 hours a week) and still receive a part-pension, subject to means testing.

Superannuation

The Government announced a number of major reforms to the superannuation system over the period from 2010 to 2012, many of which did not come into effect until 1 July 2012 or later. These included MySuper (a simple, cost-effective default superannuation product) and SuperStream (a set of reforms which will make the processing of transactions easier, cheaper and faster). The reforms also include:

- an increase in the superannuation guarantee rate from 9 to 12 per cent, phased in from 1 July 2013 to 1 July 2019;
- a low income superannuation contribution from the Government, of up to AUD500.00 annually for workers with an adjusted taxable income of up to AUD37,000, from 1 July 2012;
- a temporary higher concessional contributions cap of AUD35,000 for workers aged 60 and over (from 1 July 2013) which will extend to individuals aged 50 and over (from 1 July 2014);
- the abolition of the maximum superannuation guarantee age limit, from 1 July 2013;
- a number of measures designed to ensure that employers make the superannuation contributions which they are required to; and
- the reduction in the tax concession on superannuation contributions from 30 per cent to 15 per cent for individuals with combined income and concessional contributions exceeding AUD300,000, from 1 July 2012.

Personal Income Tax System

The previous government introduced a number of reforms to the personal income tax system in 2012-13, all commencing 1 July 2013:

- Increasing the statutory tax-free threshold from AUD6,000 to AUD18,200, with related changes to marginal tax rates and the low-income tax offset that target the benefit to low- and middle-income taxpayers.
- Better targeting the tax concession for living-away-from-home allowances and benefits at people who are legitimately maintaining a second home in addition to their actual home for an initial period.
- Consolidating eight dependency offsets into a single, non-refundable offset (the dependant (invalid and carer) tax offset).
- Phasing out the dependent spouse tax offset for taxpayers with a dependent spouse born on or after 1 July 1952.
- Phasing out the mature age workers tax offset for taxpayers born on or after 1 July 1957.
- Better targeting concessions for employment termination payments.
- The private health insurance rebate will be calculated using commercial premiums as at 1 April 2013 and then indexed annually by the lesser of Consumer Price Index (CPI) or the actual increase in commercial premiums. There will be no rebate on lifetime health cover loading.
- The net medical expenses tax offset will not be able to be claimed from 1 July 2019. The offset will be phased out. A taxpayer with out of pocket medical expenses relating to disability aids, attendant care or aged care expenses can claim the offset until 30 June 2019. For all other taxpayers, the offset will not be able to be claimed from 1 July 2015 and to make a claim in either their 2014 or 2015 tax return they must have received the offset in their previous tax assessment.

12.2 Policy changes introduced since 1 July 2013

Baby Bonus – Reduce the rate for second and subsequent children

- The rate of Baby Bonus will reduce from AUD5000 to AUD3000 for second and subsequent children born or entrusted to the care of the adopting or foster parents on or after 1 July 2013. Baby Bonus for first children and children born as part of a multiple birth will continue to be paid at the rate of AUD5000. From 1 July 2012 indexation (in line with the consumer price index) will not be applied to the Baby Bonus payment rate. Indexation will resume from 1 July 2015.

Clean Energy Supplement

- From 1 January 2014 the Clean Energy Supplement will be payable for most youth and student payment recipients, and Disability Support Pension recipients aged under 21 without dependent children. The CES is a tax-exempt payment that provides assistance to meet the ongoing impacts of carbon pricing on living expenses.

12.3 Future policy changes announced since July 2013

Medicare Levy

- From 1 July 2014 the Medicare levy rate will increase to 2% to help fund the National Disability Insurance Scheme.

Pensioner Education Supplement – Extension to all single principal carers on Newstart Allowance

- From 1 January 2014, the Pensioner Education Supplement (PES) will be available to all single principal carers receiving NSA, subject to meeting the eligibility requirements. Previously only single principal carers who were receiving PES immediately prior to transferring to NSA due to the age of their youngest child were eligible to receive PES while on NSA.

Paid Parental Leave scheme

- The mandatory employer role in Paid Parental Leave scheme is being removed to reduce administrative burdens on business. From 1 March 2014 parents will be paid Parental Leave Pay directly by Centrelink.

Superannuation

Following the 7 September 2013 election, the Government has announced that it will:

- abolish low income superannuation contributions from the Government; and
- keep the rate of superannuation guarantee unchanged at 9.25% until 30 June 2016 and then continue gradually increasing the rate to 12% by 1 July 2021.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasi-compulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.